

November 21, 2025

The Federal Energy Regulatory Commission
888 First Street Northeast
Washington, DC 20426

RE: Interconnection of Large Loads to the Interstate Transmission System, Docket No. RM26-4-000 (Oct. 27, 2025).

Dear Chair Rosner and Commissioners:

Rewiring America is a nonprofit focused on making American households the center of a clean, resilient energy future. We appreciate the opportunity to comment on Docket No. RM26-4-000 on Interconnection of Large Loads to the Interstate Transmission System.

Rewiring America takes no position on any Federal Power Act jurisdictional issues implicated by this proceeding, and nothing in these comments should be interpreted as expressing support for or opposition to those jurisdictional questions. At the same time, Rewiring America encourages the Commission to remain mindful of the Federal Power Act's cooperative federalism framework. FERC should set floors, not ceilings, and any rules adopted in this proceeding should avoid preempting or impeding state authority.¹

Rewiring America agrees with the Department of Energy ("DOE") that enabling the efficient integration of new large loads will be central to the next era of grid growth. We particularly welcome DOE's recognition of load flexibility as core grid infrastructure. This is a meaningful validation of the view that demand-side solutions—whether achieved through large load curtailment, energy efficiency that permanently lowers peak demand,² or dispatchable distributed energy resources³—belong at the center of energy planning, not at the edges.

Many utilities, and DOE itself, have recognized that virtual power plants, which aggregate and control a network of distributed assets, have rapidly become among the lowest-cost pathways to new megawatts for the grid. There is also significant latent capacity and flexibility in existing, readily deployable distributed resources that can be mobilized far faster than new generation or major network upgrades.

¹ Several states have implemented, or are in the process of implementing, programs that require large-load customers to support or fund local efficiency and distributed energy resource investments as part of broader efforts to ensure other customers are not inappropriately burdened by the costs of interconnecting large loads.

² In September 2025, Rewiring America found that upgrading inefficient electric heating, cooling, and water heating to high-efficiency heat pumps can create roughly 30 GW of peak capacity nationwide—about one-third of projected additional data-center demand through 2029. If large loads cover 50 percent of upfront costs for converting electric-resistance homes to heat pumps, they could procure new capacity at roughly the same cost of building and operating a new gas plant. See <https://www.rewiringamerica.org/research/homegrown-energy-report-ai-data-center-demand>.

³ In January 2025, DOE projected that a 400 MW virtual power plant of distributed smart thermostats, smart water heating, managed home electric vehicle charging, and behind-the-meter battery demand response could be sourced at less than half the cost of a new gas peaker plant. See https://www.smartenergydecisions.com/wp-content/uploads/2025/04/liftoff_doe_virtualpowerplants2025update.pdf.

Crucially, these distributed resources can not only help accelerate the reliable interconnection of large loads but also provide cost relief for residential customers amid rising energy bills. As the Federal Energy Regulatory Commission (“FERC”) evaluates next steps following the proposed advance notice of proposed rulemaking, we offer the following recommendations:

On Principle 3 (“Load and hybrid facilities should be studied together with generation facilities...”):

Rewiring America supports DOE’s emphasis on incorporating flexibility mechanisms—such as curtailable load and dispatchable generation—to facilitate timely and cost-effective large load interconnections. Studying large loads together with co-located generation can help identify and mitigate network constraints and protect customers, especially residential customers, from avoidable upgrade costs.

However, limiting combined studies only to physically co-located resources unnecessarily constrains the toolbox available to large load customers. Off-site distributed energy resources (“DERs”)⁴ can deliver the same types of energy services—generation, load reduction, or transmission relief—that on-site assets provide. Large loads should therefore be allowed to incorporate aggregated front-of-the-meter and behind-the-meter DERs into their interconnection applications to the extent those resources can offset the transmission or generation upgrades triggered by the request. For example, an aggregation of residential batteries capable of providing import or export services, or a portfolio of high-efficiency heat pump upgrades that deliver durable peak reductions, can effectively mitigate network loading associated with large load interconnections. A long-term commitment to secure and maintain such contributions should be treated comparably to co-located generation for modeling purposes.

Expanding eligibility to include appropriately located, non-co-located DERs aligns with the principles established in Order No. 2222, which recognizes that DER aggregations can provide dispatchable, reliability-enhancing services that directly affect transmission system needs.⁵ That recognition naturally extends to considering DER aggregations deployed in tandem with a large load interconnection request where those resources can relieve the same underlying constraints.

On Principle 7 (“FERC should expedite interconnection study of large loads that agree to be curtailable...”):

FERC should expand its expedited interconnection considerations beyond large load curtailability and co-located generation dispatchability to include appropriately located off-site distributed energy resources that can deliver curtailment or dispatch services under contract. These contracted resources should be evaluated as part of the interconnection package when they provide generation and/or transmission relief that offsets the impacts of the large load request. In this context, what matters is equivalent, verifiable performance in mitigating constraints within

⁴ FERC defines DERs as “any resource located on the distribution system, any subsystem thereof or behind a customer meter. These resources may include, but are not limited to electric storage resources, distributed generation, demand response, energy efficiency, thermal storage, and electric vehicles and their supply equipment.” *FERC Order No. 2222, Footnote 1.*

⁵ *FERC Order 2222*, 99.

the same constrained transmission pocket or local grid area, not whether the asset is physically inside or outside the facility fence line.

Aggregated DERs are already recognized under Order No. 2222 as capable of providing dispatchable, reliability-enhancing services. Likewise, demand-side measures that permanently lower peak load can meaningfully reduce the system impacts of new large loads. Locational requirements can ensure these resources provide benefits on the same part of the grid affected by the interconnection.

By allowing both durable peak reductions and aggregated distributed flexibility to qualify under Principles 3 and 7, FERC can give large loads more options to meet interconnection requirements quickly, affordably, and reliably.⁶ This approach will accelerate the integration of new loads while keeping household electricity costs in check.

Thank you for considering these recommendations.

Respectfully submitted,

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⁶Allowing large load customers to secure DER commitments would also animate DER markets broadly and catalyze new investment in customer-sided resources, unlocking both latent and new forms of demand flexibility.